Director in July 1983, Managing Director in April 1985, and eventually took over from his uncle as Chairman in February 1993.

When Parekh was the Chairman of ICICI, he had hired Pradip P. Shah, a brilliant young chartered accountant as Projects Officer in the Projects Department. Pradip's main task was appraisal of projects in the paper, textile engineering, and other industries. Greatly impressed with his work, Parekh selected him to work on setting up HDFC. There was also a family connection. Pradip's father Pannalal was Parekh's doctor and friend, and they lived in close proximity in the Babulnath area of Bombay.[14]

Since there was no precedent to fall back on, Pradip was sent to study housing finance institutions in different countries all over the world. He visited housing finance institutions in the UK (which included two of the largest building societies, Halifax and Abbey National), the US, Philippines, and Singapore. The most important task at the time was the initial mobilization of equity. Pradip participated in the loan negotiations and equity investment from IFC and recalls receiving telexes several pages long. When Naseer Munjee joined as economist at HDFC both worked for long hours together, often sharing lunch on the same table.[15]

Pradip was involved in developing lending policies and procedures and he also worked on the HDFC prospectus. The system of charging legal and processing fees, calculating interest on the basis of annual rests, offering of loans even before a property was selected, and even the format for the agenda of committee meetings were all his contributions.[16] After two years Pradip took a leave of absence from HDFC to do his MBA from Harvard Business School. He returned to HDFC, to which he was greatly attached, and took over as chief of operations, responsible for the complete lending operations of HDFC.

He became the General Manager in 1983 and finally left in 1987 to become the first Managing Director of CRISIL on the invitation of N. Vaghul, who was then Chairman of ICICI and chief sponsor of the new institution. Vaghul shared a close relationship with Parekh and recalls how he would visit Parekh for what he describes as their 'chapatti lunches' at the HDFC office which was close to the ICICI office in the Backbay Reclamation area. When Vaghul told Parekh that he wanted the services of Pradip, Parekh was naturally hesitant to let go of his star performer. Vaghul